Digital Realty Trust, Inc. (DLR)

Scarcity Premium Is Real

Analyst: Justin Wen

Scarcity Premium Is Real. Cash renewal spreads hit a record 25.4% in Q2 and the backlog grew 75% year-to-date to $1.9B. Constrained new supply lets DLR reprice existing powered capacity at materially higher rents [Company 2Q26]. Visible Double-Digit Growth. Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027 [Company 2Q26]. Fair Price, Not a Bargain. Our DCF base case of $176 matches the $175.97 spot price, leaving no margin of safety. The 22x core FFO multiple already prices in the growth story [DCF, Mkt 18-Oct-26]. Our framework screens it as a ***Hold*** *with a $176.57 blended target, 0% above the current price.*

HOLD	$176.57	+0%	$175.97
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Scarcity Premium Is Real. Cash renewal spreads hit a record 25.4% in Q2 and the backlog grew 75% year-to-date to $1.9B. Constrained new supply lets DLR reprice existing powered capacity at materially higher rents [Company 2Q26].

Executive summary

Visible Double-Digit Growth. Core FFO per share guided to $8.15-8.20, a second straight year of double-digit growth, with the backlog at ~30% of in-place rent supporting management's confidence into 2027 [Company 2Q26].

Fair Price, Not a Bargain. Our DCF base case of $176 matches the $175.97 spot price, leaving no margin of safety. The 22x core FFO multiple already prices in the growth story [DCF, Mkt 18-Oct-26].

$6.85-6.95B	$8.15-8.20	$1.9B / $1.4B share	+25.4%	~55%	4.7x
REVENUE (2026E GUIDANCE)	CORE FFO/SHARE (2026E, EX PROMOTE)	SIGNED BACKLOG (RECORD)	CASH RENEWAL SPREADS (Q2)	ADJ. EBITDA MARGIN (2026E)	NET DEBT / ADJ. EBITDA

The moat is structural

Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026.

Three scenarios make the valuation range explicit

The DCF values Digital Realty Trust, Inc. across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$141.79**	-19%
Base	50%	**$176.26**	+0%
Bull	25%	**$211.96**	+20%

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Bear ($141.79, -19%): Growth disappoints and multiples compress; the $141.79 target marks the downside case.

Bull ($211.96, +20%): Execution compounds and the multiple rerates; the $211.96 target marks the upside case.

The probability-blended target implies +0% upside

Blended target: $176.57 per share

A 25% Bear / 50% Base / 25% Bull weighting implies +0% upside from the $175.97 reference price.

$176.57

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

DCF Base $176 [DCF 18-Oct-26] ~22x 2026 Core FFO guidance $8.15-8.20 [Company 2Q26] Dividend yield 2.8% [Mkt 18-Oct-26] DCF implies fair value at the current price. The multiple is full for a REIT and the yield offers little cushion with the 10Y near 5.1%.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $176.57 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Scarcity premium: municipal moratoriums on new data center development constrain supply while AI demand grows. DLR's existing powered shells reprice higher, with cash renewal spreads hitting a record 25.4% in Q2 2026. [Research]

AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction. [Company 2Q26]

Interconnection moat: record $108M of 0-1 MW plus interconnection bookings in Q2 ($20.5M pure interconnection). Interconnection revenue is high-margin, sticky, and hard to replicate. [Company 2Q26]

Funding flexibility: $12B+ of remaining hyperscale development capacity via the JV platform and closed-end fund; net debt to adjusted EBITDA 4.7x with BBB/Baa2 ratings. [Company 2Q26]

What to monitor

Oct 29, 2026. Q3 2026 earnings. Consensus ~$1.76B revenue and ~$1.99 FFO/share; backlog conversion and renewal spreads in focus.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Ongoing. $1.4B signed-not-commenced backlog at DLR share (~30% of in-place data center rent) plus 1.4 GW under construction converting to revenue through 2027.

2027. Management sees confidence to extend double-digit core FFO per share growth runway into 2027 and beyond on backlog visibility.

$6.85-6.95B	$8.15-8.20	$1.9B / $1.4B share	+25.4%
REVENUE (2026E GUIDANCE)	CORE FFO/SHARE (2026E, EX PROMOTE)	SIGNED BACKLOG (RECORD)	CASH RENEWAL SPREADS (Q2)

DIGITAL REALTY TRUST, INC. | RISKS & INVESTMENT VIEW

HOLD

Key risks

Funding and dilution. 2026 development capex guidance of $4.25-4.75B (net of partner contributions) is funded partly by equity: 13.5M ATM shares ($2.5B) sold in H1 2026. Continued dilution would drag per-share growth. [Company 2Q26]

Development execution and power. 1.4 GW under construction must be delivered on time with secured power. Municipal pushback on grid strain and water usage, the same dynamic driving the scarcity premium, can also delay DLR's own pipeline. [Company 2Q26]

Rate sensitivity. At ~22x 2026 core FFO with the 10Y near 5.1%, the REIT multiple is rate-sensitive. A higher-for-longer rate regime would compress the valuation even if operations deliver. [Mkt 18-Oct-26]

Investment view

The Oct 29 Q3 print is the swing factor: another beat-and-raise with backlog growth would support the Bull case toward $212, while a funding-heavy print with more ATM dilution or power delays on the pipeline would push toward the $142 Bear case. Sustained renewal spreads above 10% would lift Forward Growth and Valuation.

Hold. The $176.57 blended target implies +0% upside, balancing the $141.79 / $176.26 / $211.96 Bear / Base / Bull targets.

DIGITAL REALTY TRUST, INC. | KEY DRIVERS

HOLD

AI and hyperscale demand: $307M of Q2 bookings at 100% share ($208M at DLR share), two post-quarter hyperscale leases worth $410M annualized GAAP rent at 100% share, and 1.4 GW of development under construction. [Company 2Q26]

Interconnection moat: record $108M of 0-1 MW plus interconnection bookings in Q2 ($20.5M pure interconnection). Interconnection revenue is high-margin, sticky, and hard to replicate. [Company 2Q26]

Funding flexibility: $12B+ of remaining hyperscale development capacity via the JV platform and closed-end fund; net debt to adjusted EBITDA 4.7x with BBB/Baa2 ratings. [Company 2Q26]

Upcoming catalysts

Oct 29, 2026. Q3 2026 earnings. Consensus ~$1.76B revenue and ~$1.99 FFO/share; backlog conversion and renewal spreads in focus.

Ongoing. $1.4B signed-not-commenced backlog at DLR share (~30% of in-place data center rent) plus 1.4 GW under construction converting to revenue through 2027.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

2027. Management sees confidence to extend double-digit core FFO per share growth runway into 2027 and beyond on backlog visibility.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.